

Cambridge IGCSE™

CANDIDATE
NAME

--

CENTRE
NUMBER

--	--	--	--	--

CANDIDATE
NUMBER

--	--	--	--

BUSINESS STUDIES

0450/13

Paper 1 Short Answer and Data Response

May/June 2022

1 hour 30 minutes

You must answer on the question paper.

No additional materials are needed.

INSTRUCTIONS

- Answer **all** questions.
- Use a black or dark blue pen. You may use an HB pencil for any diagrams or graphs.
- Write your name, centre number and candidate number in the boxes at the top of the page.
- Write your answer to each question in the space provided.
- Do **not** use an erasable pen or correction fluid.
- Do **not** write on any bar codes.
- You may use a calculator.

INFORMATION

- The total mark for this paper is 80.
- The number of marks for each question or part question is shown in brackets [].

This document has **12** pages. Any blank pages are indicated.

- 1 MTD manufactures specialist cleaning products including soap. Batch production is used. The business uses just-in-time inventory control. MTD took 18 months to develop its latest environmentally friendly cleaning product. The Marketing Manager has to decide on the packaging and method of promotion for this new product. She said: 'All our stakeholders, including pressure groups, are important. MTD wants to contribute to sustainable development.'

(a) Define 'pressure group'.

.....

.....

.....

..... [2]

(b) Identify **two** features of batch production.

Feature 1:

.....

Feature 2:

..... [2]

(c) Outline **two** factors MTD should consider when deciding on the packaging for its new product.

Factor 1:

.....

.....

.....

Factor 2:

.....

.....

..... [4]

- (d) Explain **two** possible advantages to MTD of using just-in-time inventory control.

Advantage 1:

.....

Explanation:

.....

.....

.....

Advantage 2:

.....

Explanation:

.....

.....

..... [6]

- (e) Do you think using social media is the best way for a business to promote a new product?
Justify your answer.

.....

.....

.....

.....

.....

.....

.....

.....

.....

.....

.....

..... [6]

- 2 TJM is a private limited company. It is a food retailer and has 450 shops. In 2021 TJM's revenue increased by \$500 million. The Finance Director is analysing TJM's financial statements. An extract is shown in Table 2.1. The directors are planning to expand TJM by opening 20 new shops. TJM will have to carry out a recruitment and selection process for 400 new employees.

Table 2.1

Extract from TJM's financial statements for 2021 (\$m)	
Non-current assets	400
Current assets	300
Current liabilities	240
Profit for the year	200

- (a) Define 'revenue'.

.....

.....

.....

..... [2]

- (b) Calculate working capital. Show your working.

.....

.....

.....

..... [2]

- (c) Outline **two** advantages of TJM being a private limited company.

Advantage 1:

.....

.....

.....

Advantage 2:

.....

.....

..... [4]

- (d) Explain **two** possible reasons why profit might be important to TJM.

Reason 1:

.....

Explanation:

.....

.....

.....

Reason 2:

.....

Explanation:

.....

.....

..... [6]

- (e) Do you think an interview is the best way for a large business to select new employees? Justify your answer.

.....

.....

.....

.....

.....

.....

.....

.....

.....

.....

.....

..... [6]

- 3 Gareth is planning to start a car washing business using government support. He is analysing market research data to help him make important decisions about his business. Extracts from this data are shown in Figure 3.1 and Figure 3.2. Gareth said: 'I will need to set business objectives.' He plans to keep his business small. Gareth is worried about the possible effects of higher taxes.

Do you have a car?

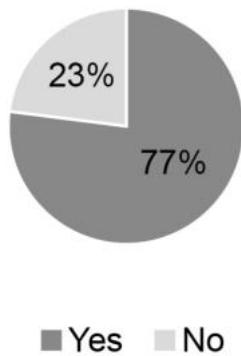


Fig. 3.1

Average price paid for a car wash



Fig. 3.2

- (a) Identify **two** reasons why businesses need objectives.

Reason 1:

.....

Reason 2:

.....

[2]

- (b) Identify **two** possible reasons why an owner might want their business to remain small.

Reason 1:

.....

Reason 2:

.....

[2]

- (c) Outline **two** ways higher taxes might affect Gareth's business.

Way 1:

.....

.....

.....

Way 2:

.....

.....

.....

[4]

- (d) Explain how the data shown in Figure 3.1 and Figure 3.2 could be useful to Gareth.

Figure 3.1:

.....

.....

.....

.....

.....

Figure 3.2:

.....

.....

.....

.....

.....

[6]

- (e) Do you think offering financial help, such as grants, is the best way for a government to support business start-ups? Justify your answer.

.....

.....

.....

.....

.....

.....

.....

.....

.....

.....

.....

.....

.....

[6]

- 4 BCZ is a multinational company which operates in 12 countries. It manufactures cement, a building material used by construction companies, so quality assurance is important. Making cement creates external costs. One of BCZ's factories is located in country X. The government of country X plans to introduce new legal controls that will reduce the maximum number of working hours from 45 to 35 hours per week.

(a) Define 'external cost'.

.....

.....

.....

..... [2]

(b) State **two** responsibilities of a director.

Responsibility 1:

.....

Responsibility 2:

..... [2]

(c) Identify **four** potential benefits to a country's economy of a multinational company locating there.

Benefit 1:

.....

Benefit 2:

.....

Benefit 3:

.....

Benefit 4:

..... [4]

- (d) Explain **one** possible effect on BCZ and **one** possible effect on its employees of the new legal controls that will reduce the maximum number of working hours.

Effect on BCZ:

.....

Explanation:

.....

.....

.....

Effect on BCZ's employees:

.....

Explanation:

.....

.....

..... [6]

- (e) Do you think it is better for a large manufacturer to use quality assurance rather than quality control? Justify your answer.

.....

.....

.....

.....

.....

.....

.....

.....

.....

.....

.....

..... [6]

BLANK PAGE

BLANK PAGE

Permission to reproduce items where third-party owned material protected by copyright is included has been sought and cleared where possible. Every reasonable effort has been made by the publisher (UCLES) to trace copyright holders, but if any items requiring clearance have unwittingly been included, the publisher will be pleased to make amends at the earliest possible opportunity.

To avoid the issue of disclosure of answer-related information to candidates, all copyright acknowledgements are reproduced online in the Cambridge Assessment International Education Copyright Acknowledgements Booklet. This is produced for each series of examinations and is freely available to download at www.cambridgeinternational.org after the live examination series.

Cambridge Assessment International Education is part of Cambridge Assessment. Cambridge Assessment is the brand name of the University of Cambridge Local Examinations Syndicate (UCLES), which is a department of the University of Cambridge.